

Essential Insights: Week 1.3



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Overview – From AI Potential to Real Impact

Understanding AI through real organisational experiences

- AI promises productivity, innovation, and transformation, but real outcomes vary widely
- Many AI projects remain pilots and fail to generate measurable value
- Real-world cases reveal the practical challenges of implementation
- Organisational design, leadership alignment, and workflow integration determine success
- This module explores how AI is applied, governed, and scaled in real organisations

Why Real-World AI Cases Matter

Bridging the gap between theory and practice

- AI capabilities often appear powerful in theory
- Real organisations operate under constraints such as:
 - Legacy systems
 - Limited talent
 - Regulatory requirements
 - Operational pressure
- Case studies reveal where AI succeeds and where it struggles
- Effective AI strategy requires understanding organisational realities, not just technology

Case Study – AI in Digital Payments Fraud Detection

Scaling AI to protect trust in digital ecosystems

- Rapid growth in digital payments increased fraud risks
- Traditional rule-based systems could not keep pace with transaction volumes
- AI systems analyse behavioural signals such as:
 - Transaction history
 - Device identity
 - Usage patterns
- Suspicious transactions are detected in real time
- Automation reduced response time from hours to milliseconds

Lessons from Fraud Detection Systems

Technology alone does not create impact

- Key success factors included:
 - Strong leadership coordination across institutions
 - Clear governance and escalation processes
 - Defined thresholds for automated decisions
 - Collaboration between regulators, banks, and platforms
 - Workflow redesign to support AI-driven decision making

Core insight:

AI success depends more on organisational integration than algorithm sophistication.

Generative AI in Knowledge-Intensive Work

Supporting experts rather than replacing them

Knowledge work relies on:

- Analysis and interpretation
- Experience and judgement
- Complex information synthesis

Generative AI supports this work by:

- Summarising large volumes of information
- Drafting documents and reports
- Organising knowledge faster
- Professionals spend less time gathering information and more time making decisions.

Generative AI in the Legal Sector

A practical example of productivity transformation

Law firms are increasingly using generative AI for:

- Legal research
- Contract drafting
- Due-diligence reviews
- Document summarisation

Observed benefits include:

- 20–60% faster document-heavy work
- Reduced turnaround times
- Greater efficiency in knowledge-intensive tasks
- Human experts remain responsible for judgement, risk assessment, and final advice.

Scaling Generative AI in Organisations

From pilots to enterprise-wide impact

Many organisations start with small experiments, but scaling requires:

- Integration into everyday tools and workflows
- Governance policies for data access and usage
- Training and adoption support
- Clear guidelines for human oversight
- Embedding AI directly into existing work environments significantly increases adoption and value creation.

Agentic AI – Moving from Insight to Action

AI systems that coordinate and execute tasks

Traditional AI systems:

- Analyse data
- Provide recommendations

Agentic AI systems:

- Monitor workflows
- Trigger actions
- Coordinate tasks across systems

Example capabilities include:

- Sending automated reminders
- Updating records
- Scheduling follow-ups
- Escalating complex cases to humans
- Autonomy remains carefully constrained and supervised.

Operational Impact of Agentic AI

Improving execution reliability

Agentic AI delivers value in execution-heavy workflows where:

- Tasks are repetitive
- Consistency matters
- Delays reduce operational performance

Benefits include:

- Faster task coordination
- Reduced manual workload
- Improved operational consistency
- Staff focusing on complex cases rather than administrative tasks
- Humans still control strategy, judgement, and accountability.

Business Risks and Governance

Technology failures often reflect governance failures

Large-scale automated systems introduce risks such as:

- Service denial
- Public backlash
- Regulatory scrutiny
- Loss of public trust

Key governance principles include:

- Human override mechanisms
- Clear accountability structures
- Transparent decision processes
- Accessible appeal procedures
- Automation must be designed to fail safely and allow human intervention.

AI as an Operating Capability

AI is becoming part of organisational infrastructure

AI is evolving from a productivity tool to a core operational capability.

Organisations increasingly use AI to:

- Monitor operations continuously
- Detect anomalies automatically
- Coordinate workflows
- Trigger corrective actions

This changes how work flows:

- Humans define intent and strategy
- AI manages speed, scale, and coordination

Strategic Implications for Leaders

Designing organisations for AI-enabled work

Leaders must focus on:

- Embedding AI into real workflows
- Building trust through governance and transparency
- Redesigning roles and responsibilities
- Ensuring human oversight and accountability

To identify strong AI opportunities, leaders should look for workflows that combine:

- High complexity
- High volume
- Time sensitivity

Where these factors intersect, AI can fundamentally transform how work is performed.